SENATE BILL 2326
By Yarbro

HOUSE BILL 2338

By Hemmer

AN ACT to amend Tennessee Code Annotated, Title 66, relative to property owners' associations' responsibility to maintain fidelity bonds.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Title 66, Chapter 27, is amended by adding the following as a new part:

66-27-901.

As used in this part:

(1) "Board of directors" means the body, regardless of name, designated in the declaration to act on behalf of a homeowners' association;

(2) "Declaration" means an instrument, however denominated, that creates a homeowners' association, and amendments to that instrument, including restrictive covenants, bylaws, and similar instruments governing the administration or operation of a homeowners' association; and

(3) "Homeowners' association" or "HOA":

(A) Means an incorporated or unincorporated association owned by, or whose members consist primarily of, the owners of the residential property covered by the declaration and through which the owners, or the board of directors or similar governing body, manage or regulate the residential subdivision; and

(B) Includes a unit owners' association organized under § 66-27-401.

66-27-902.

A homeowners' association collecting assessments for common expenses shall obtain and maintain a blanket fidelity bond to insure the HOA against losses resulting from theft or dishonesty committed by the officers, directors, or persons employed by the HOA, or committed by any managing agent or employee of the managing agent. Such bond or insurance policy must provide coverage in an amount equal to the reserve balances of the association plus one-fourth (1/4) of the aggregate annual assessment income of such HOA; provided, that the minimum coverage amount must be ten thousand dollars ($10,000). The board of directors or managing agent may obtain such bond or insurance on behalf of the HOA.

SECTION 2. This act takes effect July 1, 2026, the public welfare requiring it.